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TECH

Microsoft's Profit Rises, Buoyed by Cloud Business

Results for the first time included LinkedIn, which contributed \$228 million in revenue

By Jay Greene

Updated Jan. 26, 2017 at 6:48 pm ET



Microsoft CEO Satya Nadella speaks at the Microsoft annual shareholders meeting last year. JASON REDMOND/AGENCE FRANCE-PRESSE/GETTY IMAGES

Microsoft Corp. [MSFT](#) **1.76%** ▲ is securing its spot as the second most important cloud-computing company.

The software giant Thursday posted big fiscal second-quarter gains in its web-based, on-demand computing business, emerging as the stiffest competitor to Amazon.com Inc.'s [AMZN](#) **3.53%** ▲ market-leading cloud unit.

Revenue for Microsoft's Intelligent Cloud segment, which includes its Azure cloud business, rose 8% to \$6.9 billion. The gain was 10% when adjusting for currency

fluctuations. The company said Azure revenue increased 93% as the usage of Azure computing services more than doubled from the year-ago period.

Microsoft doesn't break out revenue for its cloud-computing operations. But it said the unit's annualized run-rate—sales from the most recent month multiplied by 12—“exceeded \$14 billion.”

In its third quarter that ended in September, Amazon said its Amazon Web Services unit increased sales by 55% to \$3.23 billion, though each company defines cloud-computing businesses and revenue that gets counted toward them differently.

“It's clear that Microsoft is a very strong No. 2, and distancing themselves from Google Cloud,” said Stifel Nicolaus & Co. analyst Brad Reback.

Alphabet Inc.'s Google, which reported results Thursday, said its nonadvertising revenue, which includes its cloud business as well as hardware sales, increased 62% to \$3.4 billion.

Azure sales growth had more than doubled in recent quarters. The slightly slower growth rate reflects the size of the overall business, Microsoft finance chief Amy Hood said in an interview.

“You will see those numbers trend down,” she said, though she called the results “really great numbers.”

This was the first quarter in which Microsoft included results from LinkedIn Corp. In a regulatory filing, Microsoft said it paid \$27 billion for the professional social network, up from the \$26.2 billion it reported when announcing the deal last June.

LinkedIn contributed \$228 million in revenue and posted a \$201 million operating loss since the deal closed Dec. 8. Mr. Reback anticipates investors will give Microsoft time to integrate the company.

In a conference call with investors, Microsoft Chief Executive Satya Nadella said one of the company's first moves will be to weave LinkedIn into its Dynamics customer-relationship management products.

Microsoft's results also benefited from gains in its Productivity and Business Processes segment, which includes the Office productivity-software franchise. Sales climbed 10% to \$7.4 billion.

Revenue from the More Personal Computing segment, which includes the Windows operating system as well as Microsoft's mobile-phone and gaming businesses, fell 5% to \$11.8 billion.

The world-wide PC market as a whole slid 1.5% in the quarter that ended in December, according to International Data Corp. Sales have declined for years, but on the conference call, Mr. Nadella said the consumer PC market is stabilizing.

The holiday quarter is particularly important to Microsoft's Xbox videogame business. In the period, gaming revenue, which includes sales of the Xbox console, Xbox Live subscriptions and transactions, and game and accessory sales, fell 3%.

Microsoft posted \$5.2 billion in second-quarter net income, or 66 cents a share, compared with a profit of \$5.02 billion, or 62 cents a share, a year ago.

Excluding the impact of revenue deferrals and other items, adjusted earnings rose to 83 cents from 78 cents a year earlier. Revenue gained 1.2% to \$24.09 billion, and was \$26.07 billion on an adjusted basis.

Analysts surveyed by Thomson Reuters expected Microsoft to report adjusted per-share earnings of 79 cents on \$25.3 billion in revenue.

Microsoft shares, which hit a record in October nearly 17 years after setting its previous high-water mark, closed at a new high of \$64.27, up 59 cents. Shares rose another 0.4% after hours.

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Appeared in the January 27, 2017, print edition as 'Microsoft Earnings Improve'.

[Jay Greene](#) formerly wrote about Microsoft, Oracle, Amazon Web Services and the growing business of cloud computing for The Wall Street Journal. Before joining the Journal, Jay was Seattle bureau chief for BusinessWeek, reported on technology for the Seattle Times and was an investigative reporter at CNET. He authored the book...

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